

A home can hold many secrets, including creepy-crawlies that have surreptitiously wreaked havoc. Some building inspectors will wrap a pest assessment into their service, but it's important to double-check that this is included.

Overcapitalising

Definition: Spending too much on renovating the property to increase its value or meet your personal specifications, and not getting your money back when it comes time to sell.

If you buy a \$500,000 apartment, and spend 25 per cent of that amount doing it up, this would be a clear overcapitalisation. No way in the world are you likely to have that sort of cash at your disposal, so the line between a smart reno and a waste of dosh is hairline-fine. In this instance, about \$50,000 on improvements is as much as you'd want to spend. A valuation of your property will help you understand where it sits in the market, as is, and its potential.

Learn the renovation ropes

- You will need to work backwards, determining as best as possible what the value of your renovated property would likely be, and this becomes a gauge of how much to spend. If you've bought a \$600,000 home and splash \$200,000 doing it up, it won't necessarily yield you \$800,000 on top of natural market growth come auction day, and you will have frittered away your cash – and time.
- Source similar properties in your suburb that have undergone the type of makeover that you wish to embark on. The easiest way to do this is to find those homes for sale, walk through and inspect the renovation, and ask the agent what the vendor paid for the home. When you compare it to the asking price, you have a rough picture of what your property's value will be comparable to, post-transformation. Alternatively, *Domain* also lists the previous sale price for each address.
- Even after buying, local real estate agents are an excellent source of advice for what the market will pay. You can engage an agent to take a look at your new DIY project and advise on what sort of changes you could make to achieve the best possible price in your area, in the